



Strong Growth in Food delivery

Zomato's Gross Order Value (GOV) has grown at a 58% CAGR from FY19-FY22. This is a result of 41% (CAGR) in the number of orders delivered and 12% (CAGR) in the Average Order Value (AOV) in the same period. The growth in GOV was a result of rise in active food delivery cities from 455 in FY21 to **1000+ cities in FY22** which will give them **the first mover advantage**. We believe that there is huge scope for **penetration of the high order frequency customers** (Orders > 50 per annum), which have grown from 0.9 mn in FY21 to **2.3 mn in FY22**. These customers at present account for only ~5% of the total unique annual transacting customers (50+ mn).

The contribution margin saw a decline in FY22 to 1.7% from 5.2% in FY21. This was a result of increased delivery costs and spends on customer acquisition. We expect this to improve as Zomato focuses on **increasing the customer delivery charges, improve their take rates, reduce the discounts** and they have also **discontinued their loyalty program**. We believe that food delivery business has huge upside as Zomato finds acceptance in more number of cities. With increasing acceptance and reduced competition, we expect margins to improve. At the latest EBITDA Level, the food delivery business has already broken-even.

Hyperpure Continues to Expand

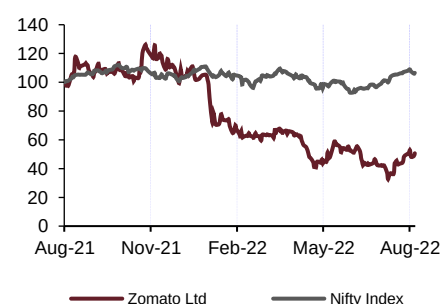
Zomato's B2B offering is providing restaurants farm-to-fork supplies. The company intends to address and benefit from the supply chain issues faced by the restaurant industry. We expect Hyperpure to **grow at 64% CAGR between FY22-FY24** and Adj. EBITDA margins to improve due to scale benefits. Hyperpure have expanded their presence across 10 cities vs 6 cities in FY21 and the unique restaurant customer base has also doubled to 51k in FY22 vs 25k in FY21. The company has **guided for 5-10% EBITDA margins** in this business.

Rating	TP (Rs)	Up/Dn (%)
BUY	79	25

Market data

Current price	Rs	63
Market Cap (Rs.Bn)	(Rs Bn)	510
Market Cap (US \$ Mn)	(US \$ Mn)	6,391
Face Value	Rs	1
52 Weeks High/Low	Rs	169.1 / 40.55
Average Daily Volume	('000)	2,37,629
BSE Code		543320
Bloomberg		ZOMATO.IN
Source: Bloomberg		

One Year Performance



% Shareholding	Jun-22	Mar-22
Promoters	-	-
Public	97.5	97.5
Others	2.5	2.5
Total	100.0	100.0

Source: Bloomberg

Blinkit Acquisition

The quick commerce business is a natural extension of the food delivery business which will **increase their Total Addressable Market (TAM)**. This business is a recent addition to the portfolio of Zomato. The management continues to burn cash, while the investments have reduced as Blinkit's losses have been coming down. The synergy will benefit in **improved utilization of delivery fleet and reduce their delivery cost**. This business is still evolving and currently losing money, however the management has guided for improved profitability (reducing losses).

Valuation and Outlook

We believe the addressable market size of Zomato is huge and they have just scratched the surface. Zomato has **switched its focus on profitability** and we expect the discounts to reduce. The AOV has stabilized while the number of orders continue to grow. There is a huge scope to increase the order frequency along with the customer base, while increasing the customer delivery charges. The Blinkit acquisition will grow its total addressable market and **we expect them to turn profitable sooner than the street's expectations**.

Zomato is currently trading at 6.4x FY24e Sales (P/S). **We assign a multiple of 8x P/S FY24E and arrive at a target price of Rs 79** (implying upside of 25%).

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